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Reg.No : .....
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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/MGU-BBA (Honours)/MGU-BCA (Honours) Special Examinations, July 2026 (for 2024 Admission Regular Examinations, October 2025)

Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCECO200 - MICROECONOMICS - I

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Question

Answer all questions

Each question carries **1** marks

1. Who makes a distinction between strong ordering and weak ordering in consumer theory? [K] / [CO1]

   a). Alfred Marshall b). John Hicks

   c). Paul Samuelson d). Adam Smith

2. Expansion path joins points of ……. [A] / [CO2]

   a). Minimum cost for different outputs b). Maximum cost for different inputs

   c). Minimum output for given inputs d). Maximum revenue for given cost

3. Which of the following is not a limitation of indifference curve technique? [K] / [CO1]

a). Assumes all goods can be consumed in fractional units

b). Assumes the consumer has complete knowledge of all goods and prices

c). Allows for empirical measurement of utility in real world settings.

d). Ignores changes in income and wealth over time.

4. Ridge lines indicate …… [U] / [CO2]

a). Maximum profit zone

b). Economic region of production

c). Iso-revenue lines

d). Producer's loss region

5. According to the giffen paradox when the price of a giffen good increases [U] / [CO1]

a). the demand for the good increases

b). the demand for the good decreases

c). the demand for the good remain unchanged

d). the demand for the good becomes perfectly elastic

6. An isocost line shows all combinations of two inputs that…….. [U] / [CO2]

a). Produce the same level of output

b). Maximize the firm's profit

c). Can be purchased with a given budget

d). None of these

7. Monopsony is often found in [An] / [CO3]

a). Labour markets

b). Agricultural markets

c). Consumer good markets

d). Oligopoly Markets

8. Bilateral Monopoly is often studied in the context of [U] / [CO3]

a). Agriculture market

b). Labour Market

c). Capital market

d). International trade

9. The general equation of the budget line constraint is [A] / [CO1]

a). $Px.Qx+Py.Qy=M$

b). $Px/M= Qx$

c). $Qx.Px=M+Py$

d). $Px+Py=0$

10. MRTS is the ratio of …….. [U] / [CO2]

a). Consumption of two goods b). Prices of inputs

c). Marginal products of inputs d). None of these

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11. State the reason behind the convexity of an indifference curve . [U] / [CO1]

12. How do economies of scale and diseconomies of scale affect the long-run average cost curve in traditional analysis? [An] / [CO2]

13. Explain why MR < AR for a monopolist. [U] / [CO3]

14. Define Price leadership. Who usually becomes the price leader in a market? [U] / [CO1, CO4]

15. Illustrate the second-degree price discrimination with real life examples. [A] / [CO1, CO2, CO3, CO4]

16. Discuss the different types of oligopoly. [K] / [CO4]

17. With a diagram, show the shape of an isoquant. [A] / [CO2]

18. What is the role of entry and exit in perfect competition and monopoly? [An] / [CO3]

19. What are the features of monopolistic competiton? [K] / [CO1, CO2, CO3, CO4]

20. What are the conditions of consumer equilibrium in ordinal analysis ? [U] / [CO1]

21. Explain pragmatic approach. [A] / [CO1, CO2, CO3, CO4]

22. What is meant by Average Fixed Cost (AFC)? Why does AFC continuously fall with larger output? [K] / [CO2]

23. Evaluate whether it is rational for a perfectly competitive firm to continue production when P < AVC. [E] / [CO3]

24. What are the conditions for profit maximisation under monopolistic competiton? [U] / [CO1, CO2, CO3, CO4]

25. What happens to demand when the price of a substitute decreases? [U] / [CO1]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

26. Draw an income consumption curve and give explanation. [A] / [CO1]

27. Explain the Modern Theory of Short-Run Costs. How does reserve capacity influence the AVC and SATC curves? [An] / [CO2]

28. Explain short-run equilibrium of a firm under perfect competition with supernormal profits. [A] / [CO3]

29. Differentiate Between Price Leadership and Cartel [K] / [CO1, CO4]

30. "Producer's equilibrium ensures maximum efficiency of resources." Do you agree? Give reasons. [E] / [CO2]

31. Explain the linear expenditure system in consumer theory? [U] / [CO1, CO2, CO3, CO4]

32. Discuss how changes in input prices affect the position of isocost line and producer's equilibrium. [U] / [CO2]

33. Show how consumer surplus change under first degree price disciminiation. [K] / [CO1, CO2, CO3, CO4]

34. Discuss why the firm in perfect competition is a price taker. [U] / [CO3]

35. Describe Revealed Preference theory. [U] / [CO1]

[6x5 = 30]